

INTERNATIONAL RELATIONS



INDIA-BHUTAN - 1

MODULE - 20

INDIA - BHUTAN RELATIONS

- 1 India-Bhutan relations have matured over the years and are characterised by close trust and understanding and extensive cooperation in the field of economic development, particularly in the mutually beneficial sector of hydroelectric power.
- 2 The historic relations between Bhutan and India date back to 747 A.D, when the great Indian saint Padmasambhava introduced Buddhism in Bhutan, which has since then permeated all aspects of Bhutanese life.

The relations can be divided into three phases:

1. Colonial Period
2. Milestones in Post Independence
3. Contemporary relationship

COLONIAL PERIOD

1 Bhutan came under the British suzerainty in 1865. Trade between Bhutanese and Indians took place in 1873..

2 In 1910, Bhutan signed a treaty and became a protectorate of British India. It allowed the British to “guide” its foreign affairs and defence.

3 China invaded Tibet in 1910-12 and laid claims on Bhutan. Ultimately, the Treaty of Punakha in 1910 with British India.

4 The treaty expelled China's territorial claims but did not define Bhutan's status technically or legally.



ASIAN GIANTS BORDERING BHUTAN

5 After India's independence in 1947, 'standstill agreements' with Sikkim, Nepal and Tibet were signed to continue existing relations until new agreements were made.

6 Bhutan was invited to the Asian Relations Conference in 1947 by PM Nehru

7 But with China's independence in 1949 and annexation of Tibet in 1950, the geopolitical scene in the Himalayan region and Indian sub-continent underwent great change

8 These events led Bhutan to re-evaluate its traditional policy of isolation and strengthen its relationship with India. For India's own security too, the stability of Himalayan states was essential



MILESTONES IN POST INDEPENDENCE

Indo-Bhutan relationship is governed by the 1949 Friendship Treaty. According to this treaty -

- 1 The Government of India would not interfere in the internal matters and administration of Bhutan.
- 2 The Government of Bhutan, reciprocally, agreed to be guided on the advice of government of India for its external relations.
- 3 Free trade regime was established between India and Bhutan.

- 4 Extradition of Indian citizens in Bhutan and of the Bhutanese citizens in India when required.



MILESTONES IN POST INDEPENDENCE

5 After independence, Indo-Bhutan relations were managed by India's Political Officer in Sikkim.

6 1962 War

7 Formal bilateral relations between Bhutan and India were established in January 1968 with the appointment of a resident representative of the Government of India to Bhutan.

8 With India sponsoring Bhutan's application for UN membership in 1971 and allowed Bhutan to pursue its foreign policy independently

9 Integration of Sikkim

10 1986 Sumdorongchu Standoff



CONTEMPORARY RELATIONSHIP

- Bhutan was one of the first country to recognize India's independence in 1947 and both nations fostered close relations.
- There are several areas of cooperation in the contemporary relationship between India and Bhutan. They can be categorized into:
 1. POLITICAL
 2. STRATEGIC
 3. ECONOMIC
 4. CULTURAL
 5. EDUCATIONAL



POLITICAL

1 The 1949 treaty was revised in 2007 and both sides have agreed to cooperate closely with each other on issues relating to their national interest.

2 India and Bhutan celebrated 50 years of diplomatic relations in 2018.

3 PM Modi complimented Bhutan for the economic progress it has achieved while preserving its traditions and values and combining sustainable development with happiness quotient of the people.

4 The two countries are expected to further boost defence, security and strategic cooperation.



POLITICAL

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ELECTION COMMISSIONS

- 1 The institutional cooperation between India and Bhutan in the area of Electoral practices was formalised through signing of an MoU between the two Election Commissions in May 2006.
- 2 Several teams of officials from the Election Commission of Bhutan including Dzongdas (District Collectors) and Dzongkhag (district) officials have visited India to observe various state and local elections. India has assisted Bhutan in formulating its election laws.



POLITICAL

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ELECTION COMMISSIONS

- 3 India also provided a grant of Rs 47.506 million to Bhutan to source electronic voting machines from India.
- 4 India also provided helicopters during the National Council elections to transfer election officials and equipment to remote areas.
- 5 The Government of India also facilitated holding of a workshop in Thimphu for senior bureaucrats in Bhutan on 'Democratic Constitutional Monarchy' with eminent civil servants from India acting as resource persons.



POLITICAL

ii PARLIAMENTARY INTERACTIONS

1 The Bureau of Parliamentary Studies and Training (BPST) of the Indian Parliament have conducted training programmes for the officials of the Bhutanese Parliament.

2 From 26-29 May 2010, Lok Sabha Speaker Smt. Meira Kumar, led an Indian Parliamentary delegation to Bhutan. During the visit, a Parliamentary Friendship Group was constituted to promote regular exchange of Parliamentarians from both the sides. Both sides agreed to sign an MOU on Parliamentary cooperation.

3 During the visit of Bhutanese Speaker to India from 23-26 Nov 2011, an MOU was signed between the two Parliaments



STRATEGIC

- 1 Bhutan shares its borders with the Indian states of Sikkim, Assam, Arunachal Pradesh, and West Bengal and its location is strategically important to India. Bhutan is a buffer state between India and China.
- 2 Doklam is vital to India's defence and India has a permanent and sizeable military contingent and an army hospital in the district.
- 3 Because of Bhutan's strategic location, India's Border Roads Organisation has completed construction of a strategically key road in Bhutan.
- 4 Under the 2007 India-Bhutan Friendship Treaty, the two sides have agreed that neither Government shall allow the use of its territory for activities harmful to the national security and interest of the other.



STRATEGIC

5 Bhutan is important for India's Neighbor First and Act East Policy

6 A friendly Bhutan has helped India address militancy in the Northeast.

7 Bhutan is India's only neighbor that has not yet joined China's OBOR

8 Bhutan is a key member of the Bay of Bengal Initiative for Multi-Sectoral Technical and Economic Cooperation (BIMSTEC), that has been pushed as an alternative to SAARC.



DEFENCE

- 1 India has assisted Bhutan's security and defence arrangements, specifically in training and equipping the Royal Bhutan Army
- 2 Indian Military Training Team (IMTRAT) conducted training and courses for army personnel. Bhutanese army cadets are sent to the National Defense Academy (NDA) in Pune, and the Indian Military Academy (IMA) in Dehra Dun, India.
- 3 The headquarters of the IMTRAT in Bhutan is located in Haa District, which is adjacent to Tibet's Chumbi valley. the IMTRAT hospital offers invaluable services to Bhutanese patients as well.



DEFENCE

- 4 India's Border Roads Organization has constructed extensive roads called Project DANTAK in Bhutan.
- 5 Project Dantak of the Border Roads Organisation, has built 1,600 kilometres of roads in Bhutan.
- 6 The other projects it has completed include airfields, helipads, the telecommunications network, a microwave link, a broadcasting station, 34 hydel sub-stations, river works, schools and colleges



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TRADE

ECONOMIC

- 1 India dominates Bhutan's economy and is Bhutan's largest trading partner.
- 2 The currency of Bhutan is Indian Rupees.
- 3 Around 79% of Bhutan's total imports are from India and India provides a market for 90% of its imports.
- 4 Main items of export from India to Bhutan are petroleum products, mineral products, base metals, machinery, automobile and spares, processed foods and animal products, plastic and rubber.

- 5 The basic items of export from Bhutan to India are electricity, base metals and articles, minerals, vegetable fat and oils, chemicals, cement, timber and wood products, fruits and vegetable, to name a few.



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TRADE

ECONOMIC

6 A free trade regime exists between India and Bhutan.

7 The India-Bhutan Trade and Commerce Agreement was renewed in March 2005 for a period of 10 years.

8 It provides for duty free transit of Bhutanese merchandise for trade with third countries.

9 The India Bhutan Bilateral Trade Talks were held in New Delhi on 18-19 August 2011.

10 After these talks, Bhutanese passengers were allowed duty free access at Indian airports and exports to Bhutan were exempted from any export bans in India except on some essential items

11 In 2016, a new trade agreement was signed. This agreement aims at cutting down the documentation related to trade and establishing additional trading points in Bhutan.



ECONOMIC

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FINANCIAL ASSISTANCE

- 1 India has been providing financial assistance to Bhutan's five-year development plans since 1961.
- 2 Between 2000 and 2017, Bhutan received \$4.7 billion aid from India.
- 3 India's assistance to Ninth Five Year Plan (2002-08) of Bhutan was Rs. 2610.14 crore.
- 4 This included Rs 907 crore for project tied assistance, Rs 820 crore as Program grant and rest as various refunds and subsidies.

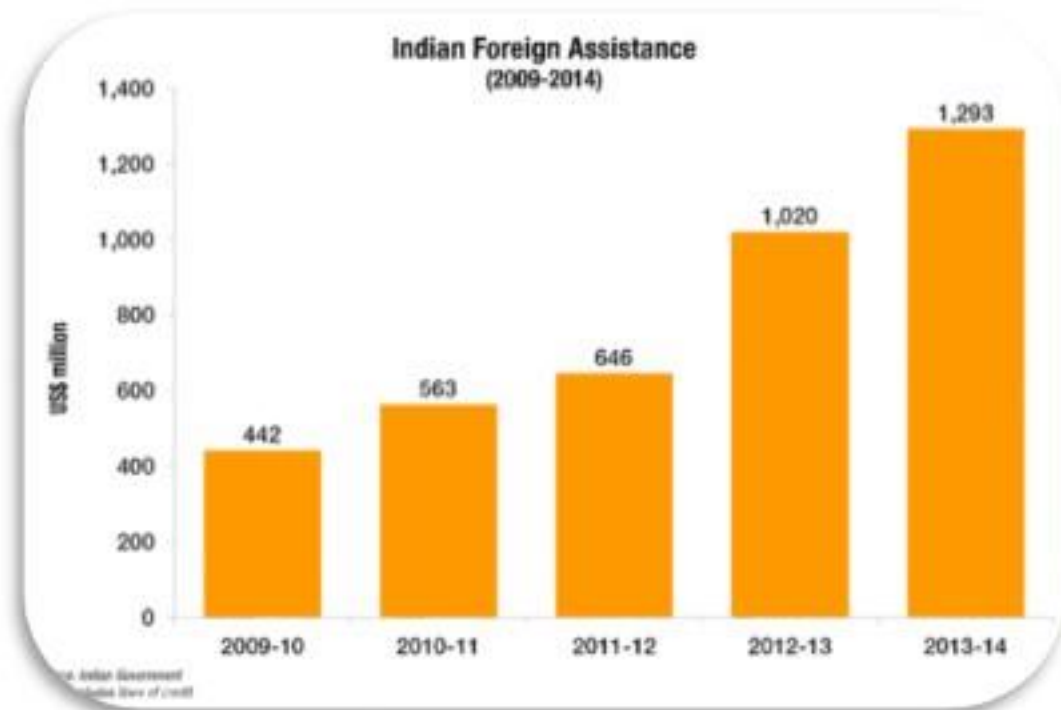


ECONOMIC

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FINANCIAL ASSISTANCE

- 5 The Government of India committed assistance worth Rs.3400 crores during the 10th FYP.
- 6 Prime Minister Dr. Manmohan Singh addressed the Joint Session of the Bhutanese Parliament in May 2008 informed that the total bilateral economic engagement with Bhutan till 2013 to be of Rs./ Nu. 100 billion.
- 7 India extended a standby credit facility of Rs 300 crores in March 2009 to help Bhutan overcome rupee liquidity crunch.



ECONOMIC

iii HYDRO-ELECTRICITY

- 1 Hydro-electric power generated by Bhutan's river dams is the economic bedrock of the India-Bhutan relationship.
- 2 India has helped finance the dams through a combination of aid and loans and buys the excess electricity at lower prices
- 3 Some of the major projects in Bhutan carried out with Indian assistance include 1020 MW Tala Hydroelectric Project and 60 MW Kurichhu Hydroelectric Project in 2006, 336 MW Chukha Hydroelectric Project
- 4 GOI has agreed to provide assistance to Bhutan in developing the hydropower sector and to purchase at least 10,000 MW of power from Bhutan by 2020.



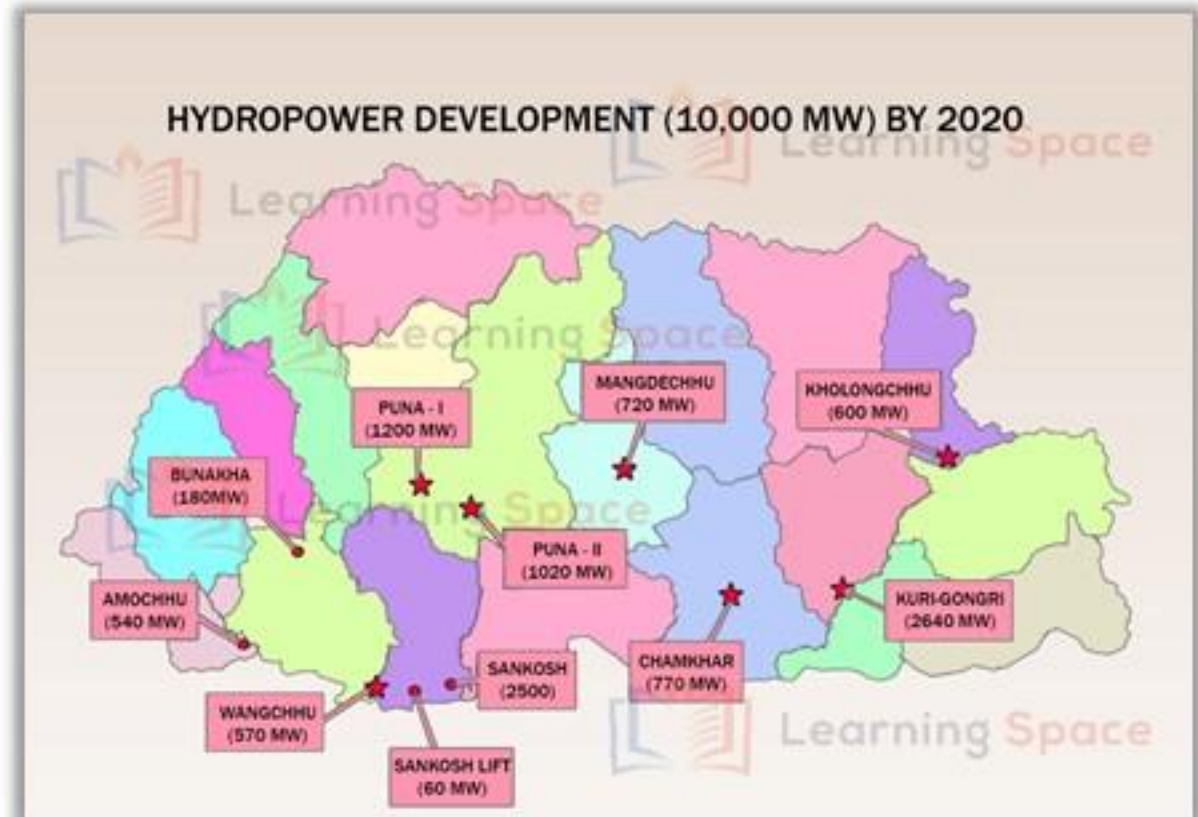
ECONOMIC

iii HYDRO-ELECTRICITY

5 For the purpose ten hydropower projects have been agreed during the first Empowered Joint Group (EJG) Meeting held in Delhi in March 2009, of which Punatsangchhu-I Hydro Electric Project, Punatsangchhu -II and Mangdechhu HEPs – are under construction

6 In April 2010, the Foundation Stones for the Punatsangchhu -II and Mangdechhu Hydro Electric Projects (HEPs) was laid

7 Bhutan exports power to India at a negotiated rate of Rs. 1.98 to Rs. 2 per unit.



ECONOMIC

iii HYDRO-ELECTRICITY

8 The energy trade is two-way: Bhutan imports fossil fuel from India and, in monetary terms, the size of fossil fuel import from India is almost equal to the export of hydro-electricity.

9 A revision of electricity tariff is under consideration between the two governments, Bhutan's main export is electricity and if its price per unit does not rise reasonably in line with the inflationary impulse transmitted from India via imports of goods, a financial crisis can develop in Bhutan.

10 Around 60,000 Indian nationals mostly employed in the hydroelectric power and construction industry.



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